



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Lisa Leach, Interim Finance Director
DATE: July 21, 2026
SUBJECT: Proposed Refunding of Outstanding Bonds

Description: Authorize the refunding of outstanding Community Facilities District bonds to reduce borrowing costs and provide savings to affected property owners without extending the existing bond terms or impacting the City's General Fund.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

1. Waive the full reading and adopt by title only, "Resolution of the City Council of the City of Beaumont acting as legislative body of Community Facilities District No. 93-1, authorizing the issuance of Special Tax Refunding Bonds and taking other actions in connection therewith" and recess the City Council meeting.
2. Waive the full reading and adopt by title only, "Resolution of the City Council of the City of Beaumont acting as legislative body of Community Facilities District No. 2016-1, authorizing the issuance of Special Tax Refunding Bonds and taking other actions in connection therewith" and recess the City Council meeting.
3. Waive the full reading and adopt by title only, "Resolution of the City Council of the City of Beaumont acting as legislative body of Community Facilities District No. 2016-2, authorizing the issuance of Special Tax Refunding Bonds and taking other actions in connection therewith" and recess the City Council meeting.
4. Convene a meeting of the Board of Directors of the Beaumont Public Improvement Authority and waive the full reading and adopt by title only, "Resolution of the Board of Directors of the Beaumont Public Improvement Authority, Riverside County, California, authorizing the issuance of its Local Agency Refunding Bonds, in one or more series, in an aggregate principal amount of not-to-exceed forty-two million five hundred thousand dollars (\$42,500,000) and approving certain documents and taking other actions in connection therewith" and adjourn the Board Meeting and reconvene the City Council meeting.

Recommendation:

Staff recommends that City Council proceeds with the approval of the refunding bond documents for all four CFD bond issues, subject to the City's established policy requiring each refunding to achieve at least 3.0% net present value savings or \$200 in annual savings per parcel at the time of pricing. Four bond issues, at the time of writing this report, currently meet these thresholds.

Discussion:

Over the years, staff and City Council have been proactive in monitoring outstanding community facilities district (CFD) debt for refunding candidates.

On April 7, 2026, staff and its financing team presented City Council with an opportunity to refund outstanding bonds issued by various CFDs within the City, including CFD 93-1 Improvement Areas 17C (Tournament Hills), 8D (Sundance) and 8E (Sundance), CFD 2016-1 (Fairway Canyon), CFD 2016-2 (Sundance). At that time, City Council approved moving forward with the refunding opportunity (subject to the savings thresholds described below), directing staff and its financing team to begin preparing legal documents with the goal of returning before City Council to seek final approval for the issuance of refunding bonds. Additionally, City Council established a minimum savings threshold for the refunding of each CFD bond issue of 3.0% net present value savings or \$200 in annual savings per parcel. In other words, staff and the financing team would not proceed with the issuance of refunding bonds until the savings parameters are achieved.

The outstanding bonds are related to CFD 93-1 Improvement Areas 8D, 8E, and 17C, CFD 2016-1 and CFD 2016-2:

- **CFD 93-1 Improvement Area 8D (Sundance):** In June 2018, the City of Beaumont CFD 93-1 Improvement Area 8D issued the Special Tax Bonds, Series 2018A ("IA 8D Bonds") in the par amount of \$7,675,000 to fund public facilities benefiting the CFD. Currently, there is \$7,425,000 of par amount outstanding of the IA 8D Bonds. The IA 8D Bonds were structured with a final term of 2048 and a final interest rate of 5.00%. The IA 8D Bonds are currently callable on any date and after September 1, 2026, will be callable at a price of 102%.
- **CFD 93-1 Improvement Area 8E (Sundance):** In December 2018, the City of Beaumont CFD 93-1 Improvement Area 8E issued the 2018 Special Tax Bonds, ("IA 8E Bonds") in the par amount of \$12,680,000 to fund public facilities benefiting the CFD. Currently, there is \$11,935,000 of par amount outstanding of the IA 8E Bonds. The IA 8E Bonds were structured with a final term of 2048 and a final interest rate of

5.00%. The IA 8E Bonds are currently callable on any date and after September 1, 2026, will be callable at a price of 102%.

- **CFD 93-1 Improvement Area 17C (Tournament Hills):** In June 2018, the City of Beaumont CFD 93-1 Improvement Area 17C issued the 2018 Special Tax Bonds, (“IA 17C Bonds”) in the par amount of \$8,730,000 to fund public facilities benefiting the CFD. Currently, there is \$8,290,000 of par amount outstanding of the IA 17C Bonds. The IA 17C Bonds were structured with a final term of 2048 and a final interest rate of 5.00%. The IA 17C Bonds are currently callable on any date and after September 1, 2026, will be callable at a price of 102%.
- **CFD 2016-1 (Fairway Canyon):** In March 2019, the City of Beaumont CFD 2016-1 (Fairway Canyon) issued the 2019 Special Tax Bonds, (“2016-1 Bonds”) in the par amount of \$9,045,000 to fund public facilities benefiting the CFD. Currently, there is \$7,755,000 of par amount outstanding of the 2016-1 Bonds. The 2016-1 Bonds were structured with a final term of 2049 and a final interest rate of 5.00%. The 2016-1 Bonds are currently callable on any date and after September 1, 2026, will be callable at a price of 102%.
- **CFD 2016-2 (Sundance):** In August 2019, the City of Beaumont CFD 2016-2 (Sundance) issued the 2019 Special Tax Bonds, (“2016-2 Bonds”) in the par amount of \$10,285,000 to fund public facilities benefiting the CFD. Currently, there is \$9,115,000 of par amount outstanding of the 2016-2 Bonds. The 2016-2 Bonds were structured with a final term of 2049 and a final interest rate of 5.00%. The 2016-2 Bonds are currently callable on any date and after September 1, 2026, will be callable at a price of 101%.

A summary of the outstanding bonds is provided below.

Summary of Outstanding Bonds							Ratings
<u>Issue</u>	<u>Parcels</u>	<u>Issue Date</u>	<u>Par Value Outstanding</u>	<u>Final Term</u>	<u>Final Rate</u>	<u>Optional Call Date¹</u>	
CFD 93-1-8D	279	Jun. 2018	\$7,425,000	2048	5.000%	Currently Callable	Non-Rated
CFD 93-1-8E	372	Dec. 2018	11,935,000	2048	5.000%	Currently Callable	
CFD 93-1-17C	215	Jun. 2018	8,290,000	2048	5.000%	Currently Callable	
CFD 2016-1	372	Mar. 2019	7,755,000	2049	5.000%	Currently Callable	
CFD 2016-2	527	Aug. 2019	9,115,000	2049	5.000%	Currently Callable	
TOTALS	1,765		\$44,520,000				

1: As noted above, all the outstanding bonds will be callable at a price of 102% after September 1, 2026, except for CFD 2016-2 (Sundance), which will be callable at a price of 101% after September 1, 2026.

Given the opportunity to strengthen the underlying credit of the bonds referenced above and achieve economies of scale, the refunding contemplates an issuance through the Beaumont Public Improvement Authority ("PIA"), whereby the PIA acquires each CFD refunding bond issue ("Local Obligation"). The debt service to be paid by each CFD refunding bond issue to the PIA on its Local Obligation will be used to pay debt service on the Local Agency Revenue Refunding Bonds, Series 2026 ("2026 Refunding Bonds") to be issued by the PIA. Each Local Obligation would maintain the same final maturity for each of the CFDs under consideration. In other words, there will be no extension of the original bond term of the Local Obligations. Final interest rates will be determined if and when the 2026 Refunding Bonds are priced.

While the outstanding bonds are not currently rated, the 2026 Refunding Bonds are expected to qualify for an investment grade rating and bond insurance, which would lead to a lower cost of borrowing. Furthermore, the 2026 Refunding Bonds may also qualify for a reserve fund surety policy. With a reserve fund surety policy, the 2026 Refunding Bonds would not need to cash fund a debt service reserve (or a portion thereof) as part of the issuance. This would enable the City to downsize the 2026 Refunding Bonds.

As required under Section 5852.1 of the California Government Code, good faith estimates have been provided to the City by Urban Futures, Inc., the Municipal Advisor, in consultation with Stifel, Nicolaus & Company, Incorporated, as underwriter of the 2026 Refunding Bonds as Attachment 1.

Documents Subject to Approval

There is a resolution for CFD 93-1, 2016-1 and 2016-2 presented for consideration by the City Council, acting as the legislative body of each CFD, to approve its documents with respect to the proposed refundings.

The City Council members are members of the Board of Directors of the PIA. Approval by the Board of Directors of the PIA of its resolution presented at this meeting approves its documents with respect to the 2026 Refunding Bonds.

The documents for consideration by the City Council and the Board of Directors of the PIA are described below. Approval of the Resolutions approves the preparation, form, and/or authorizes the execution and delivery of the following documents:

- **Preliminary Official Statement:** The POS is the ‘offering document,’ providing a description of the underlying taxing jurisdictions, the 2026 Refunding Bonds, and all other information that would be material to a prospective investor’s decision on whether to purchase the 2026 Refunding Bonds. While the City’s counsel, consultants, and underwriter have participated in preparing the POS, Council and staff are ultimately responsible for ensuring that the POS is accurate, contains no misleading information and does not omit any information necessary to make the POS not misleading to investors.

- **Authority Indenture of Trust (PIA):** The Indenture is a contract entered into between the City and Zions Bancorporation, National Association, as the appointed Trustee for the 2026 Refunding Bonds. This document contains terms of the 2026 Refunding Bonds including, but not limited to, the payment and redemption provisions, the pledge of revenues to pay the 2026 Refunding Bonds, rights and duties of the Trustee, remedies upon a default in the payment of the 2026 Refunding Bonds, and other related matters.

- **Bond Indentures and Supplemental Bond Indenture (Local Obligations):** These documents contain the terms of the refunding bonds in connection with the underlying taxing jurisdictions, including payment and redemption provisions, definition and pledge of revenues to pay the underlying obligations, Rights and Duties of the Trustee, remedies upon a default in the payment of the underlying obligations, and final discharge of the underlying obligations and other related matters.

- **Bond Purchase Agreement:** Pursuant to the Bond Purchase Agreement, the City agrees to sell the 2026 Refunding Bonds to the underwriter and the underwriter agrees to purchase the 2026 Refunding Bonds, subject to typical closing conditions. City staff, its municipal advisor, and bond counsel will sign off on the final pricing prior to the execution of the Bond Purchase Agreement.

- **Escrow Agreements:** These documents contain terms by which the Zions Bancorporation, National Association, as escrow agent, will hold bond proceeds on the behalf of the owners of the outstanding bonds to pay and discharge the outstanding bonds on the redemption dates.

- **Continuing Disclosure Agreement:** Executed for the benefit of bondholders, this agreement obligates the PIA to file an annual report each Fiscal Year which includes, among other things, the most recent audited financial statements of the City and financial data relating to the underlying tax jurisdictions. The PIA is also required to report certain events to bondholders if and when they occur.

The financing team has reviewed the attached documents on behalf of the City. As previously mentioned, if the Resolutions are approved, City staff will continue to work with the appointed financing team to finalize all of the documents. The pricing date, assuming interest rates remain favorable and savings thresholds are met, would be targeted for mid-August.

Fiscal Impact:

Except for a rating cost from S&P (which can be reimbursed from bond proceeds or funded from available CFD revenues), there is no impact to the City's General Fund. Any savings by property owners achieved are net of all financing costs (including the estimated cost of purchasing bond insurance policies). The cost to prepare this report is \$500.

Alternatives:

Decline to approve the refunding bond documents and direct staff to continue monitoring market conditions and return to the City Council with a future refunding proposal when the City's minimum savings thresholds can be achieved.

Attachments:

- A. Good Faith Estimates
- B. BPIA Resolution Approving the Issuance of the Local Agency Revenue Refunding Bonds, Series 2026
- C. Resolution Approving the Issuance of CFD 93-1 IA 17C Bonds, CFD 93-1 IA 8D Bonds, and CFD 93-1 IA 8E Bonds
- D. Resolution Approving the Issuance of 2016-1 Bonds
- E. Resolution Approving the Issuance of 2016-2 Bonds
- F. Authority Indenture of Trust
- G. Second Supplemental Indenture for CFD 93-1 (IA 8D)
- H. Bond Indenture for CFD 93-1 IA 8E
- I. Bond Indenture for CFD 93-1 IA 17C
- J. Bond Indenture for CFD 2016-1
- K. Bond Indenture for CFD 2016-2
- L. Form of Escrow Agreement
- M. Preliminary Official Statement (including form of Continuing Disclosure Agreement)
- N. Bond Purchase Agreement